

sion of some state-level taxes—sales tax, purchase tax, entertainment tax, electricity tax, and octroi tax—in GST. The sales tax is collected directly by a normal shop and deposited in the treasury. The purchase tax is collected by a purchaser and then deposited in the treasury like when the Food Corporation of India procures foodgrains from farmers. They are essentially same, except that the agent is different. States like Punjab and Haryana, which get a lot of revenues from the purchase tax, say they will lose revenue heavily if this tax is subsumed in the GST. There is a similar problem with octroi which at the moment is levied only in Maharashtra with all other states having abolished it. Maharashtra, which is

goods and a nominal charge of 1 per cent on precious metals. Others like Gujarat prefer a simple GST without multiple rates. Even Indian industry is at odds over the GST structure, according to consultancy firm Deloitte's pre-GST survey among corporates. "About 75 per cent of respondents for telecom, transport and logistics segments are not in favour of dual GST," says Prashant Deshpande of Deloitte.

The other hurdle, according to M. Govind Rao, member of the Economic Advisory Council to the Prime Minister, is that the rollout of GST cannot take place without constitutional amendments which are pending. In a GST regime, explains Rao, the Centre should have the power to levy taxes beyond the manu-

like telecom, Railways. "In telecom you purchase the thing somewhere, you use the thing somewhere, and the item originates somewhere. So you need to have a series of agreement with regard to these. That will need technology convergence and putting in place a simple system for inter-state verification of dealers and transactions to ensure tax compliance," explains Rao.

According to Kelkar, the problem with creating the convergence is in the states, many of which do not have a sophisticated information technology network in place. The present Tax Information Exchange System does not appear to be fully operational across all states. For instance, in Jammu and Kashmir and Himachal Pradesh, even transactions relating to VAT have been handled manually. Now the states have been asked to give their reports on their requirements and as of now the requests add up to an expenditure of Rs 1,000 crore. The Centre will pay 75 per cent of the bill and the rest will

The Centre is trying to arrive at a consensus at the level of the states, some of which are governed by opposition parties."

PRANAB MUKHERJEE, Finance Minister

strongly resisting the inclusion of octroi in GST, argues that it would not be possible for Mumbai to function without this revenue input. This issue has not even been discussed seriously, admit government officials.

At the heart of the disagreements, according to Kelkar, is that states and Union territories might incur considerable revenue losses in their bid to accept execution of the new tax regime. The states are also looking for compensation for a phased reduction of Central sales tax (CST) for the previous fiscal. Currently, CST stands at 2 per cent. "They are unwilling to compromise on their revenue losses to execute GST," says Kelkar.

There are also sharp differences over the model of GST with states divided between a dual and a single GST. The Empowered Committee has agreed to a dual structure of the proposed indirect tax regime which some states agree to. They favour a lower GST rate for items of mass consumption, a regular rate for other

"The increase in exports can be 10-14 per cent. This demands an energetic action to usher in a well-designed GST system at an early date."

VIJAY KELKAR, Chairman, 13th Finance Commission

facturing state, and the states should be empowered to levy taxes on services. At this particular moment, the Centre cannot go beyond the manufacturing state and state cannot levy taxes on services. To enable that, there is a need to amend the Constitution, and two-thirds of the states have to endorse that amendment.

Moreover, explains Rao, even if the constitutional changes were made, a lot of work remains to be done in creating an information technology backbone for it. To make the GST destination-based, states will have to levy service tax and agree on how they will appropriate revenue with regard to nationwide services

have to be raised by the states.

Facing criticism over the preparations for the GST regime, the Congress-led United Progressive Alliance Government is pulling out all stops to ensure a timely transition to the new tax regime. The finance minister has already written to Dasgupta, informing him of the Centre's willingness to consider a compensation package for states suffering revenue losses which could be as much as Rs 14,000 crore. Such incentives will certainly go a long way in paving the way to GST introduction but the dream of having a global market place could turn sour if the issue falls prey to knee-jerk Centre-state politics. ■